Meta Platforms, Inc.

META NASDAQ

Buy	$736.29 ▼ 0.17%	12M Price Target $820.00	52-Week Range $520.26 – $779.82	Market Cap $1.88T

META: Digesting Gains After Hitting New Highs

WHAT HAPPENED

- Pretty quiet day — stock down a hair (-0.17%) after a sharp two-day run from $718 to $762 last week, then a pullback. This is textbook digestion after a rally, not a reversal. Volume today was WAY below recent days (7.5M vs 20M+ earlier this week), meaning sellers aren't aggressive — people are just taking a breather.
- The COO Javier Olivan sold about $850K worth on Oct 12 — looks bad on paper but it's small relative to his holdings and likely scheduled (10b5-1 plan). Don't read too much into it.

WHY IT MATTERS

Here's what I'm seeing: META is sitting at 83% of its 52-week range with options flow screaming bullish (put/call ratio of 0.51 means traders are buying nearly 2x more calls than puts — betting on upside). The unusual call buying at the $732-735 strikes expiring this month tells me somebody with conviction thinks earnings (coming in a few weeks) will be a positive catalyst. The bigger picture: the current administration's lighter touch on Big Tech antitrust — plus the stalled federal AI regulation push — is a quiet but massive tailwind. Every month Washington doesn't act on AI content rules or kids' safety legislation is another month META compounds its AI ad-targeting advantage without new compliance costs.

POLICY & POLITICAL WATCH

Two things to watch: (1) The Kids Online Safety Act (KOSA) keeps getting reintroduced — if it actually passes, META takes a direct hit on Instagram engagement and ad targeting for under-18 users. So far it keeps dying in committee, which is bullish by default. (2) The federal AI preemption debate — there's a push to block states from making their own AI rules (California and Texas are both drafting aggressive ones). If federal preemption wins, META gets one rulebook instead of 50 — huge win. Also keep an eye on the EU Digital Services Act fines, which have been smaller than feared.

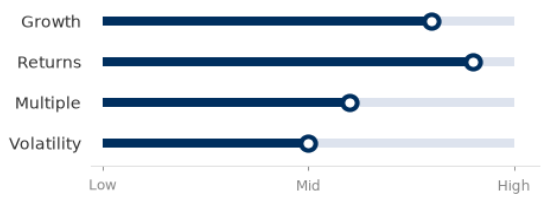
IS IT EXPENSIVE?

At ~27x forward earnings — meaning you're paying $27 for every $1 of profit META is expected to make next year — it's not cheap but not crazy either. Google trades around 22x and Microsoft around 32x, so META sits right in the middle of mega-cap tech. The question is whether the Reality Labs/AI capex ($60B+ this year) actually generates returns — if it does, this stock looks cheap in hindsight; if it doesn't, that multiple compresses fast.

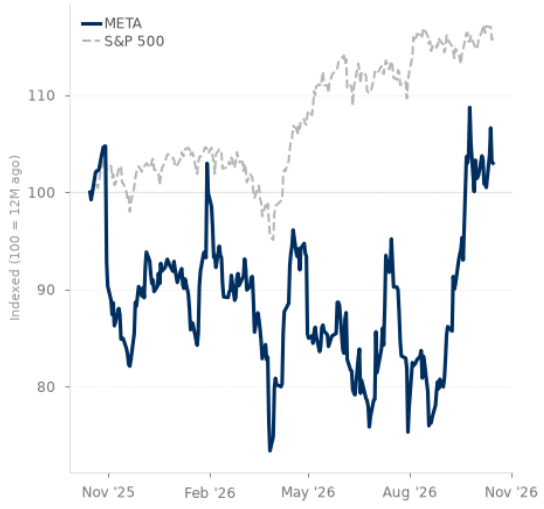
WHAT COULD GO WRONG

Key Data	
Price (USD)	**$736.29**
12M Price Target	**$820.00**
Upside / (Downside)	**+11.4%**
Market Cap	**$1.88T**
FY2026E Revenue	**$198M**
FY2027E Revenue	**$228M**
FY2026E EPS	**$27.50**
FY2027E EPS	**$32.00**
Fwd P/E	**26.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | October 15, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$790.00**	$750.00	**$695.00**
6 Months	**$850.00**	$785.00	**$650.00**
1 Year	**$920.00**	$820.00	**$620.00**
2 Years	**$1100.00**	$900.00	**$580.00**
5 Years	**$1500.00**	$1150.00	**$500.00**
10 Years	**$2200.00**	$1600.00	**$450.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.5% today, +6% this week) is on fire — likely drug pricing clarity or Medicare news. Consumer Staples strength (+4.35% 5D) suggests some defensive rotation. Materials/Real Estate catching bids on rate-cut hopes.

COOLING OFF: Comm Services (META's home sector) is barely positive at +0.12% over 5 days — tech is pausing after a big run. Not a red flag, just consolidation.

ROTATION WATCH: Money is quietly rotating OUT of mega-cap tech and INTO defensive and rate-sensitive sectors. This is classic "risk-off within risk-on" positioning ahead of earnings season — investors locking in tech gains and parking money in boring winners.

RELATED PLAY: If META's AI thesis works, the picks-and-shovels winners are the power/data center names (VRT, ETN) and the hyperscaler suppliers. Cheaper way to play the same trend without single-stock risk.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Riding similar AI ad tailwinds plus the Waymo/cloud optionality.
- NFLX (Netflix): Ad tier is scaling, pricing power intact — proving streaming economics work.

META CONTEXT: META has been the LEADER of the mega-cap tech group for most of 2026, but it's taking a pause while the rest of the market catches up. That's healthy — a stock that just rips without consolidation usually corrects harder later. The fact it's holding above $730 after a 6% weekly move is bullish behavior.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — High conviction on the business, but the easy money in the near term has been made. Earnings is the next big test.

POSITION SIZE: 4-6% of portfolio. It's a core mega-cap holding but you don't want to be overweight going into an earnings print where expectations are elevated.

ENTRY POINTS: I'd add on dips to $710-725. If it pulls back to $695 (recent support), back up the truck. Don't chase above $770 right now.

TIME HORIZON: 12-24 months. Near-term catalyst is Q3 earnings in late October; longer-term it's AI monetization showing up in the P&L.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY, or if they announce another massive capex hike without ROI metrics, or if Section 230 reform actually gets real traction in Congress.

HEDGING: Buy some cheap put options for earnings — basically insurance that pays off if the stock drops hard. Costs you a little premium but lets you sleep at night through the report.

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.